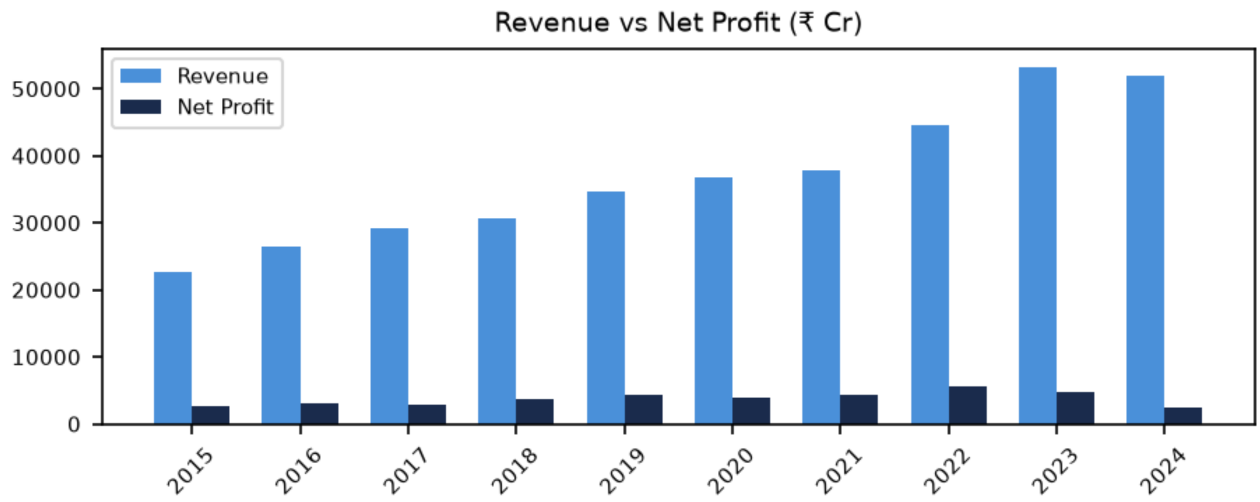
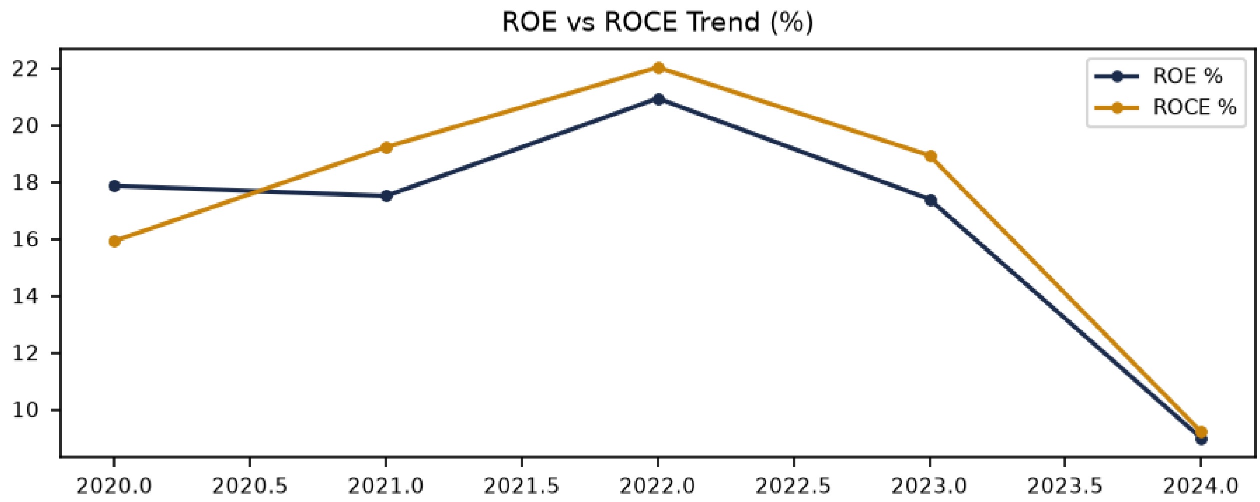
Tech Mahindra Ltd

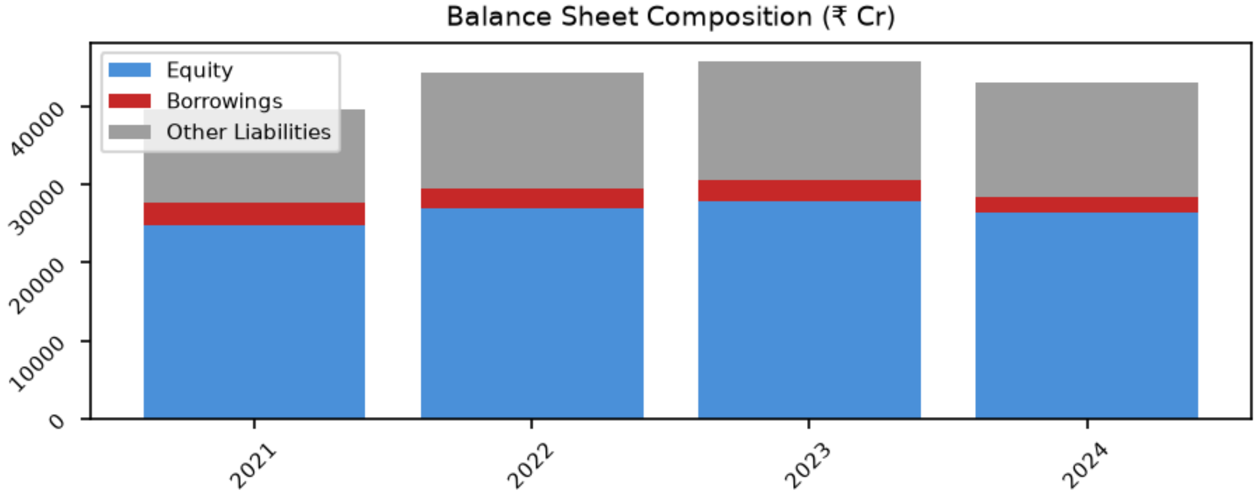
TECHM · Information Technology

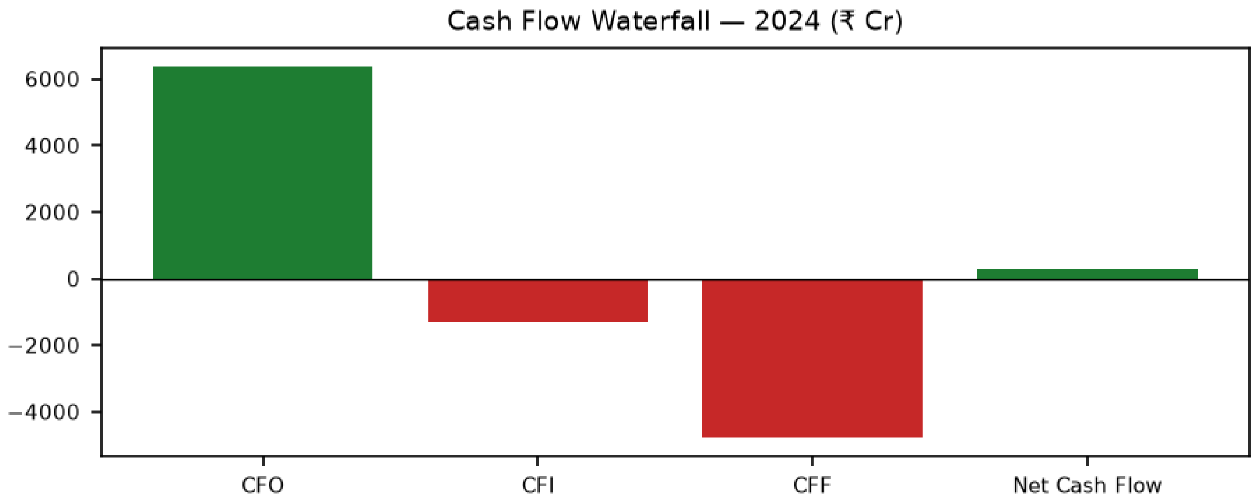
ROE	ROCE	Net Profit Margin
9.0%	9.2%	4.6%

Debt-to-Equity	Revenue CAGR (5yr)	Free Cash Flow
0.10	6.5%	■5,058 Cr









Pros	***Cons***
✓ Strong free cash flow generation over 5 years signals healthy business fundamentals	✗ Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing	✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Reinvestor